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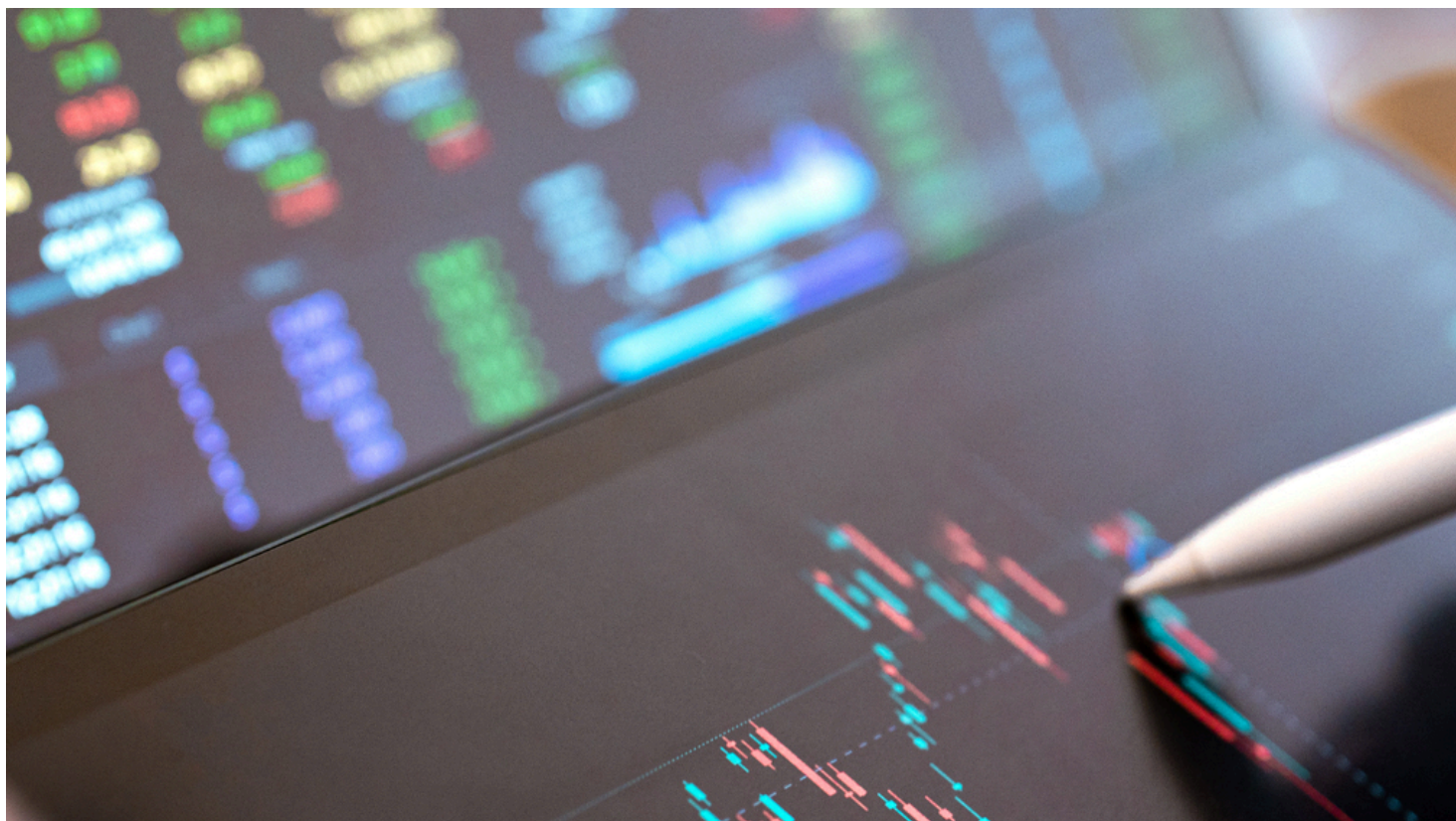


By Westpac New Zealand Economics

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In this edition of “Hawks, doves, and kiwis”, we survey some of the arguments that might be advanced by the RBNZ’s MPC members as they seek to tease out the implications of the Middle East conflict.



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Overview.

As discussed in our preview this week, the outcome of the upcoming Monetary Policy Review seems certain – an OCR maintained at 2.25%. However, looking further ahead, we think there is likely to be a diversity of views across the Monetary Policy Committee (MPC) about how the Middle East conflict is likely to play out; the likely impact on the economy and inflation; and the appropriate monetary policy response.

In this edition of our regular “Hawks, Doves and Kiwis” note, we survey some of the arguments that might be advanced by MPC members as they seek to tease out the implications of this shock. Some of those arguments would push the RBNZ in a more “hawkish” direction, while others would counsel a “dovish” response.

We expect to see at least some of these perspectives raised in the Record of Meeting that will be published after next week’s meeting. However, it will likely take some time before it becomes clear which path the economy and monetary policy will take.

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